AVT Natural Products Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: AVTNPL · Report prepared 21 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's public financials, annual filings, credit-rating rationales and news record. This company holds no earnings calls — see Section 2.

1 Snapshot

AVT Natural extracts the useful chemistry out of farm produce and sells the concentrate to global food, drink, feed and supplement makers. Four lines: **marigold extracts** (petals are solvent-extracted to yield *lutein*, a yellow pigment for eye-health supplements and for making egg yolks yellower); **spice oleoresins** (an *oleoresin* is a concentrated extract of a spice — the colour and flavour of a sack of pepper in a drum of liquid); **value-added teas** (instant and decaffeinated); and **animal nutrition** feed additives, plus early-stage *nutraceutical* (food-derived health ingredient) work. Part of the A V Thomas group; 94% of sales exported; no earnings calls.

Measure	Number	What it means in plain words
Market cap / price / P/E	₹1,339 cr / ₹88.5 / 19.6	Small-cap, priced on a peak-cycle quarter — the good news is largely paid for.
FY26 revenue (standalone)	₹684 cr, **+31%**	Biggest year ever and a real break-out: revenue was stuck at ₹503–582 cr for three years.
FY26 operating profit / margin	₹76 cr / **11%**	EBITDA (cash trading profit before interest, tax and accounting charges). Record revenue, near-decade-low margin — FY23 made ₹117 cr on ₹582 cr at 20%.
FY26 net profit	₹54 cr (₹65 cr consol.)	Up 42% on FY25, still under FY23's ₹75 cr on 18% more revenue — profit per rupee of sales roughly halved.
Q1 FY27 revenue / net profit	₹231 cr **+85%** / ₹24 cr **+167%**	Fourth straight sequential gain. June is normally the weakest quarter — this one beat every prior quarter ever. Margin 14% (16.2% consolidated).
ROCE / ROE	12.5% / 10.4%	ROCE = return on capital employed, pre-tax profit on all money in the business. 12.5% is mediocre — a deposit rate plus a thin premium for crop and currency risk. It was 25% in FY23.
Exports / America's share	**94.06%** / ~65%	America took ₹462 cr of ₹711 cr consolidated FY26 sales, up from 57%. A US tariff decision moves this P&L more than management does.
Operating cash vs profit	₹10 cr vs ₹54 cr	Weakest number in the file. Cash was a fifth of book profit; debtor days 121 vs 80 in FY24. Growth sits in receivables and stock, not the bank.
Promoters / dividend	75.00% / ₹0.80 per share	Promoters at the legal maximum, no selling in 3 years; dividend paid every year, 23% payout. Reliable, unexciting.

2 Coverage & sources

No concall transcripts were available on Screener — this report is based on a global web deep-dive

AVT Natural **does not hold earnings calls at all**. Screener's AVTNPL page (verified 21 Aug 2026) carries Announcements, Annual Reports and Credit Ratings but has **no Concalls section whatsoever**, and the local document store holds zero transcripts. No analyst call, no investor presentation, no guidance — ever. For a company with 47,171 shareholders, the whole management narrative reaches the public through the annual report's Management Discussion & Analysis (MD&A), statutory filings, and whatever the rating agency chooses to print. **Consequence:**

every "management said" in Section 4 comes from a document management wrote and controlled, never tested by an analyst's follow-up. Treat the consistency read as **directional only**.

Sources actually used. (1) Screener.in AVTNPL — snapshot, standalone and consolidated P&L FY15–FY26, quarterlies, balance sheet, ratios, cash flow, shareholding. **(2) 40th Annual Report FY2025-26** (217 pp, avtnatural.com) — MD&A, Directors' Report, BRSR (Business Responsibility & Sustainability Report), R&D disclosure, segment revenue Note 23, standalone and consolidated accounts and cash-flow statements. **(3) Annual Report FY2024-25** — prior-year MD&A and Future Outlook, to test promises against outcomes. **(4) ICRA rating rationale, 22 Dec 2025** — [ICRA]A+ (Stable)/[ICRA]A1+ on ₹114.48 cr of bank lines; the most useful single public document here (segment mix, export share, customer concentration, working capital, capex plan, forward margin view). **(5)** Q1 FY27 results, board meeting 14 Aug 2026, consolidated PAT ₹3,110.05 lakh — scanx.trade, sahi.com, DSIJ, ICICI Direct. **(6)** 40th AGM outcome, 17 Aug 2026 — K. Nandakumar confirmed Manager & CEO; Siddharth Thomas director from 09.06.2026. **(7)** Outlook Business feature — segment history, Kemin relationship, competitors (Synthite, Plant Lipids, OmniActive). **(8)** Trade press on lutein/marigold-oleoresin markets (SNS Insider, IndexBox, Coherent) and on the 14 Nov 2025 US tariff rollback for Indian tea, coffee and spices plus the Feb 2026 India-US deal cutting the rate to 18% (KPMG, Business Today, GTRI/Tribune).

2b Latest update highlights

Latest update highlights — Q1 FY27 (quarter ended 30 June 2026)

- **Revenue ₹231 cr standalone (+85% YoY), ₹241 cr consolidated (+82%);** net profit ₹24 cr standalone (+167%), ₹31.1 cr consolidated (+157% vs ₹12.1 cr). Consolidated EBITDA ₹39 cr vs ₹14.9 cr, margin 16.2% vs 11.2%. [board meeting 14 Aug 2026; scanx, DSIJ, sahi]
- **Weak base, but not only a base effect.** Four straight sequential gains — ₹125 → 151 → 191 → 216 → 231 cr, with margin 10% → 7% → 11% → 14% → 14%. June 2025 was FY26's softest quarter, but ₹231 cr also beats the previous record quarter (₹216 cr, Mar 2026) by 7%, and June is seasonally weakest: the prior three June quarters were ₹94 cr, ₹99 cr and ₹125 cr. The exit run-rate is well above the 11% FY26 average. [Screener]
- **The cause is a marigold crop that came back.** FY26 MD&A: the marigold division "witnessed a significant recovery compared to the previous two years, which had been impacted by adverse weather patterns and drought conditions. Improved crop availability... enabled the Company to enhance production volumes." Marigold revenue +48% to ₹285 cr. [FY26 AR]
- **US tariff relief is a second, separate tailwind.** The 50% US reciprocal tariff on Indian tea, coffee and spices was withdrawn 14 Nov 2025; Feb 2026 cut the headline rate to 18%. ICRA had flagged the tariff as the reason FY26 growth might disappoint, then noted the withdrawal "will benefit AVTN"; FY26 MD&A confirms tariffs had "a significant impact on export realizations and margins". [ICRA; FY26 AR; KPMG]
- **Leadership changed as the numbers turned:** K. Nandakumar confirmed Manager & CEO (5-year term) at the 17 Aug 2026 AGM; Siddharth Thomas of the promoter family joined the board 09 Jun 2026. [AGM outcome filing]

2c Business mix, exports & capacity

Segment mix, FY26 vs FY25 (consolidated product revenue, ₹ cr, Note 23 of the FY26 accounts): **marigold extracts 285 vs 192, +48%** (40% of sales — the swing factor, driven by rainfall); **instant & decaffeinated tea 173 vs 153, +13%** (24%; volumes and margin both up, though decaf was hurt by US tariffs); **spice extracts 158 vs 139, +14%** (22%; stable, margin held); **animal nutrition 75 vs 47, +60%** (11%; fastest-growing and the only new business earning real money); **others ₹5 cr** from nil (first crop-input and derma-cosmetic trial revenue). By statutory product code (BRSR): marigold oleoresin 41.71%, instant/decaff tea 23.67%, spice oleoresin 23.61%, feed additives 7.87%.

Exports and concentration. Exports = **94.06%** of turnover (92.78% FY25); forex earnings ₹597.71 cr vs outgo ₹112.10 cr; 35 countries. Consolidated FY26: America ₹462 cr (**65%**, up from 57%), Others ₹142 cr (20%), Europe ₹69 cr (10%, *down* from ₹85 cr), India ₹38 cr (5%). ICRA: the US was ~45% of FY25 sales and the **top 5 customers exceed 80% of revenue**, with an exclusive long-term marigold-oleoresin supply agreement with **Kemin Industries** (US). Dependence on America rose in the recovery year.

Capacity and utilisation — not disclosed. Stated plainly: the FY26 annual report contains **no installed-capacity figure and no utilisation percentage** for any product; the phrases "installed capacity" and "capacity utilisation" do not appear anywhere in its 217 pages, and ICRA publishes no tonnage either. What is public: three plants — South Vazhakulam (Kerala), Tiptur (Karnataka), Sathyamangalam (Tamil Nadu) — five offices, zero overseas factories; new fluidised-bed marigold dryers commissioned at Tiptur and Sathy in FY26; capex **₹23.4 cr in FY26** vs ₹9.2 cr in FY25, with ICRA describing forward plans as "nominal capex of Rs. 15-20 crore annually in FY2026 and FY2027, fully funded through internal accruals". That is maintenance and debottlenecking, not a capacity story. R&D ₹11.50 cr (FY25 ₹10.91 cr).

Overseas operations: there is no Kenya business. Four wholly-owned sales-and-marketing subsidiaries only — Europe (UK), Mexico, FZCO (Dubai) and North America (USA, under the UK entity); all manufacturing is Indian. They add about ₹29 cr of revenue and ₹11 cr of profit over standalone (consolidated FY26: ₹713 cr revenue, ₹65 cr PAT).

3 Earning-trigger thesis

Is there a durable earning trigger?

Partly — and the two things happening must be separated. Roughly two-thirds of the FY26 to Q1 FY27 jump is a marigold crop recovering from two drought years plus a US tariff being lifted: real cash, but neither owned by management nor repeatable. The remaining third — animal nutrition compounding at 60%, tea volume and margin gains, hybrid marigold seed cutting input cost — is a genuine if small structural improvement. The 85% revenue jump is an agricultural cycle turning, not a business being transformed. The tell is margin: at record revenue of ₹684 cr, FY26 operating margin was 11% against 20% on ₹582 cr in FY23. In a structural upgrade, margin leads revenue. Here it is following, slowly.

Trigger	What the public record says	Evidence so far	Horizon	Strength
Marigold crop normalisation agri-cycle	FY25 MD&A: "two consecutive years of drought severely impacted marigold crop yields, resulting in flower shortages and lower sales volumes." FY26: "significant recovery... improved crop availability."	**Delivered in full.** Marigold ₹192 → ₹285 cr (+48%), the largest single contributor to the ₹155 cr consolidated revenue rise. The offsetting bind: the exclusive Kemin supply agreement guarantees offtake but caps pricing power in a good crop year.	Already in the numbers; lasts only as long as the monsoon	**CYCLICAL — strong now, not durable. One bad monsoon reverses it, exactly as FY24 and FY25 showed.**
US tariff rollback policy	50% reciprocal tariff on Indian tea/coffee/spices withdrawn 14 Nov 2025; Feb 2026 deal cut it to 18%. ICRA (Dec 2025): the withdrawal "will benefit AVTN".	**Visible in margin.** 7% (Sep 25) → 11% → 14% → 14%, tracking the tariff timeline. Decaf tea still described as pressured.	Immediate, reversible at the stroke of a pen	**EXTERNAL. Zero management control. With 65% of sales into America, US trade policy is the biggest swing factor in this P&L.**
Animal nutrition scale-up	FY25 and FY26 MD&A both promise growth via LATAM and South-East Asia, direct and through a "strategic sales partnership with the global feed additive company".	**Delivered two years running.** ₹47 cr → ₹75 cr (+60%); ICRA independently confirms >60% in FY25 too. Now 11% of sales.	2–4 years to matter	**DURABLE — the strongest genuinely structural driver here. Still too small to fix group margin alone.**
Hybrid marigold seed backward integration	FY26 R&D note: hybrids bred for "higher flower and xanthophyll yields suitable for multiple agroclimatic zones" — a few commercialised, a couple semi-commercial. Aim: less reliance on bought-in seed and on one rainfall belt.	**Real but slow.** ICRA credits it: "backward integration in marigold provides some control over prices." No yield or cost-saving figure has ever been published.	3–5 years	**POTENTIALLY DURABLE — the one initiative that could de-cyclicalise the core. Unquantified, so unbankable.**

Instant-tea capacity	FY25 MD&A: "exploring added capacity... aiming to double the business in the coming years." FY26 MD&A: will "evaluate capacity expansion to support future growth."	**Not done.** Two annual reports, same verb. FY26 capex ₹23 cr is maintenance scale; ICRA's forward plan is ₹15–20 cr a year. No project, cost, tonnage or date announced.	Nothing sanctioned	**WEAK. An intention restated for a second year with no board-approved capex behind it is not a trigger.**
Nutraceuticals, derma-cosmetics, crop inputs	FY26: derma-cosmetic clinical studies "completed", marketing initiated; nutraceutical pre-clinical done, full trials "initiated", first results due end-FY27; patents filed.	**Nine years of R&D, ₹5 cr of revenue.** "Others" reached ₹5.24 cr from nil, and R&D spend is flat at ~₹11 cr. Crop Science was to be "officially launched" in FY26 per the FY25 report; FY26 has it back at test marketing.	4–6 years, if ever	**WEAK / SPECULATIVE. Optionality, not a forecastable driver. Timelines already slipped a year.**

The cash-flow caution that outranks all of the above. Profit is not becoming money. Standalone operating cash flow was **₹10 cr against ₹54 cr of net profit** in FY26 and **negative ₹53 cr** in FY25 — over the two years, ₹92 cr of book profit produced **minus ₹43 cr** of operating cash, with free cash flow negative in both. The consolidated FY26 statement shows why: trade receivables absorbed **₹91 cr** and inventories ₹27 cr. Debtor days went 80 (FY24) → 102 → **121**; inventory days 321; cash conversion cycle 295 days. Borrowings rose from ₹14 cr (FY24) to ₹93 cr. ICRA flagged working-capital intensity jumping to 65% of revenue from 53% and called it "a key monitorable". A 31% revenue year that yields ₹10 cr of operating cash and needs ₹79 cr of extra debt is growth bought, not banked. The balance sheet is still safe — gearing 0.2x, interest cover 7.4x, ₹170 cr cash — but the trend runs the wrong way.

4 Management consistency scorecard

Read this first

AVT Natural has never held an earnings call, so **there is no instance anywhere in the public record of this management being asked an unscripted question and having to answer it.** Every "promised / stated" cell below comes from an annual report or filing that management wrote, edited and signed — a fundamentally weaker evidence base than a transcript, because a company can quietly drop an inconvenient target from next year's MD&A with no analyst present to notice. The scores are **directional only**; the honest headline is that the disclosure is too thin to convict or acquit.

Period	Promised / stated	What happened	Verdict
FY25 AR Jul 2025	Marigold hit by "two consecutive years of drought"; recovery to come from "improved growth and supply, focusing on efficiency and costs."	FY26 marigold +48% to ₹285 cr on better crop availability. Stated cause and stated cure both proved accurate.	**CONSISTENT — creditably blunt.** They named the drought instead of dressing up a bad year. But rainfall delivered the recovery, not execution.
FY25 AR Jul 2025	Animal nutrition "will be a focus area... expand operations in LATAM and South East Asia directly and through strategic partnerships."	+60% to ₹75 cr in FY26, on top of >60% in FY25 (confirmed independently by ICRA). New customers onboarded, new products co-developed with the partner.	**DELIVERED, twice.** The one place a stated ambition has become audited revenue two years running.
FY25 AR Jul 2025	Value-added tea: "exploring added capacity... **aiming to double the business in the coming years**."	FY26 tea +13% (₹153 → ₹173 cr). No capacity sanctioned. FY26 AR softens to "evaluate capacity expansion" and replaces "double the business" with "significantly scaling the business."	**DRIFTING.** +13% is not a doubling trajectory, and a hard target quietly became a soft adjective. With no concall, nobody made them account for the change.
FY25 AR Jul 2025	"The Crop Science division **will be officially launched in the next financial year**. It will focus on	FY26 AR: the company is "advancing test marketing initiatives and **preparing for broader commercialization in the**	**MISSED — slipped a full year and the goalposts moved.** A definite launch

	strategic regions and corporate customers **in the Indian market**."	**coming financial year**" — and the target has moved to "B2B customers in select **International** Markets."	became a repeated "next year", and the home market silently became the export market, unexplained.
ICRA Dec 2025	ICRA, not management: "does not foresee any material improvement in the OPM in the near to medium term"; FY26 growth "may be limited due to the impact of reciprocal tariffs."	**Both calls wrong on the upside.** FY26 revenue grew 31%, and margin went from 11% for the year to 14% in the March and June quarters. The tariff was withdrawn eight weeks after ICRA wrote.	**USEFUL BENCHMARK.** The best-informed external analyst underestimated the recovery — evidence this was a cycle turning, not a plan being executed.
Ongoing FY23–FY27	Implicit: nothing. No guidance, no targets, no earnings call, no investor presentation — in a business whose profit swings 40% on rainfall.	Promoters at exactly 75.00% for 12 straight quarters, no selling; dividend paid every year (₹0.80 FY26, 23% payout). Institutional holding is effectively zero (FII 0.03%, DII 0.02%) and shareholders have fallen from 56,903 to 47,171.	**A REAL DISCLOSURE FAILURE.** Skin in the game and the dividend record are genuine positives. But a listed exporter with 47,000 shareholders, 80%+ of revenue in five customers and an agricultural input should explain itself out loud. It never does. Near-zero institutional holding is the market's verdict.

5 Bottom line

VERDICT 1 — EARNING TRIGGER: REAL CASH, BUT A CROP CYCLE AND A TARIFF DECISION, NOT A TRANSFORMATION

The recovery is not an accounting illusion: ₹231 cr in a seasonally weak June quarter beats the best quarter in company history, four consecutive quarters have grown sequentially, and consolidated Q1 EBITDA margin of 16.2% against 11.2% is a wide, verified gap. But the FY26 annual report hands you the cause in one sentence — the marigold crop recovered from two drought years — and the second cause, withdrawal of the 50% US tariff on Indian tea and spices in November 2025, was a decision made in Washington. Neither is owned by management and neither compounds. The proof is in the margin: on record revenue of ₹684 cr, FY26 delivered 11% operating margin against 20% on ₹582 cr in FY23, and ROCE of 12.5% against 25%. Structurally this is a lower-margin business than it was: marigold has fallen below 40% of sales and the mix has shifted toward commodity tea and spice extracts. There *is* one durable driver worth owning — animal nutrition, growing 60% a year for two years to ₹75 cr, plus a hybrid-seed programme that could blunt the rainfall dependence — but neither is yet large enough to carry the group. The cash line disciplines all of it: ₹10 cr of operating cash on ₹54 cr of profit, debtor days at 121, borrowings up from ₹14 cr to ₹93 cr in two years. Do not let a good monsoon and a tariff repeal read as a re-rated business model. At 19.6x earnings on a peak-cycle quarter, the market has already paid for the good news.

VERDICT 2 — MANAGEMENT CONSISTENCY: UNTESTABLE BY DESIGN, AND SLIPPING WHERE IT CAN BE TESTED

This is harsh on process, not integrity. Where AVT's management can be checked it comes out mixed-to-decent: it described the drought damage bluntly rather than burying it, called the marigold recovery correctly, and delivered on animal nutrition two years running. Promoters hold 75.00%, have not sold a share in three years, and the dividend has never been missed — not the marks of a promoter to distrust. But the checkable record also holds a clear miss and a clear drift: Crop Science was to be "officially launched" in FY26 and is instead back at "test marketing... preparing for broader commercialization in the coming financial year", with the target market silently moved from India to export B2B; and "aiming to double" the tea business became "evaluate capacity expansion" on 13% growth with no capex sanctioned. At a company that held earnings calls both would have drawn a direct question. Here nothing happened, because **there is no earnings call, no investor presentation and no guidance of any kind, and there never has been.** For a business with 47,171 shareholders, 94% of revenue exported, more than 80% of revenue in five customers and profits that swing 40% on rainfall, that silence is a governance shortfall in its own right, and near-zero institutional ownership (FII 0.03%, DII 0.02%) is the market pricing it. **The evidence limitation is itself the finding.** Anyone underwriting this stock is underwriting an agricultural cycle they cannot question management about, on the strength of one annual report a year and a rating agency that got last year's call wrong in both directions. Size the position accordingly.